

NOTES

forming part of the standalone financial statements

31. Exceptional items

[Item No. VI, Page 25]

Exceptional items are those which are considered for separate disclosure in the financial statements considering their size, nature or incidence. Such items included the statement of profit and loss are as below:

- Provision for impairment and non-recoverability of non-current assets/investments/loans and advances/other financial assets **₹948.40** crore (2024-25: ₹74.91 crore) relates to provisions recognised for capital work-in-progress, other financial assets, investments in preference shares and loans given to subsidiaries.
- Profit/loss on sale of investments/business undertakings/non-current assets relate to profit on sale of business undertaking **₹322.08** crore (2024-25: Nil) (refer note 45, page F123).
- Restructuring, redundancy and other provisions **₹425.68** crore (2024-25: ₹670.78 crore) relate to provision recognised in respect of amounts payable for employee separation schemes and reimbursement of payments payable to a subsidiary.
- Statutory impact of new labour codes **₹72.53** crore (2024-25: Nil) (refer note 41, page F122).
- During the year ended March 31, 2025, contribution made to progressive electoral trust was ₹173.11 crore.
- Gain/(loss) on non-current investments classified as fair value through profit and loss (net) **₹25.67** crore (2024-25: ₹16.76 crore) represents fair value changes of investments in preference shares held by the Company.

32. Earnings per share

[Item No. XII, Page 25]

The following table reflects the profit/(loss) and shares data used in the computation of basic and diluted earnings per share (EPS).

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
(a) Profit after tax	16,065.13	13,969.70
Profit attributable to the ordinary shareholders - for basic and diluted EPS	16,065.13	13,969.70
	Nos.	Nos.
(b) Weighted average number of ordinary shares for basic EPS	12,48,35,31,541	12,48,35,31,541
Add: Adjustment for shares held in abeyance	36,33,051	35,17,726
Weighted average number of ordinary shares and potential ordinary shares for diluted EPS	12,48,71,64,592	12,48,70,49,267
(c) Nominal value of ordinary shares (₹)	1.00	1.00
(d) Basic earnings per ordinary share (₹)	12.87	11.19
(e) Diluted earnings per ordinary share (₹)	12.87	11.19

NOTES

forming part of the standalone financial statements

33. Employee benefits

A. Defined contribution plans

The Company participates in a number of defined contribution plans on behalf of relevant personnel. Any expense recognised in relation to these schemes represents the value of contributions payable during the period by the Company at rates specified by the rules of those plans. The only amounts included in the balance sheet are those relating to the prior months contributions that were not due to be paid until after the end of the reporting period.

The major defined contribution plans operated by the Company are as below:

(a) Provident fund and pension

The Company provides provident fund benefits for eligible employees as per applicable regulations wherein both employees and the Company make monthly contributions at a specified percentage of the eligible employee's salary. Contributions under such schemes are made either to a provident fund set up as an irrevocable trust by the Company to manage the investments and distribute the amounts entitled to employees or to state managed funds.

Benefits provided under plans wherein contributions are made to state managed funds and the Company does not have a future obligation to make good short fall if any, are treated as a defined contribution plan.

(b) Superannuation fund

The Company has a superannuation plan for the benefit of its employees. Employees who are members of the superannuation plan are entitled to benefits depending on the years of service and salary drawn.

Separate irrevocable trusts are maintained for employees covered and entitled to benefits. The Company contributes up to 15% of the eligible employees' salary or ₹1,50,000, whichever is lower, to the trust every year. Such contributions are recognised as an expense as and when incurred. The Company does not have any further obligation beyond this contribution.

The contributions recognised as an expense in the statement of profit and loss during the year on account of the above defined contribution plans amounted to **₹216.50** crore (2024-25: ₹237.01 crore).

B. Defined benefit plans

The defined benefit plans operated by the Company are as below:

(a) Provident fund and pension

Provident fund benefits provided under plans wherein contributions are made to an irrevocable trust set up by the Company to manage the investments and distribute the amounts entitled to employees are treated as a defined benefit plan as the Company is obligated to provide the members a rate of return which should, at the minimum, meet the interest rate declared by Government administered provident fund as per the Employees' Provident Funds and Miscellaneous Provisions Act, 1952. A part of the Company's contribution is transferred to Government administered pension fund. The contributions made by the Company and the shortfall of interest, if any, are recognised as an expense in statement of profit and loss.

In accordance with an actuarial valuation of provident fund liabilities based on guidance issued by Actuarial Society of India and based on the assumptions as mentioned below, there is deficiency of **₹24.42** crore (March 31, 2025: ₹24.42 crore) in the interest cost in respect of the entities merged with the Company in earlier periods, as the present value of the expected future earnings of the fund is lesser than the expected amount to be credited to the individual members based on the expected guaranteed rate of interest of Government administered provident fund.

NOTES

forming part of the standalone financial statements

33. Employee benefits (Contd.)

Key assumptions used for actuarial valuation are as below:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Discount rate	7.00%	6.60%
Guaranteed rate of return	8.25%	8.25%
Expected Rate of return on investment	7.25% to 8.30%	7.25% to 8.15%

(b) Retiring gratuity

The Company has an obligation towards gratuity, a defined benefit retirement plan covering eligible employees as per the Payment of Gratuity Act, 1972. The plan provides for a lump-sum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 to 30 days wage payable for each completed year of service. Vesting occurs upon completion of five years of service for permanent employees and one year of service for fixed term employees. The Company makes annual contributions to gratuity funds established as trusts or insurance companies. The Company accounts for the liability for gratuity benefits payable in the future based on a year-end actuarial valuation.

(c) Post-retirement medical benefits

Under this unfunded scheme, employees of the Company receive medical benefits subject to certain limits on amounts of benefits, periods after retirement and types of benefits, depending on their grade and location at the time of retirement. Employees separated from the Company under an early separation scheme, on medical grounds or due to permanent disablement are also covered under the scheme. The Company accounts for the liability for post-retirement medical scheme based on a year-end actuarial valuation.

(d) Other defined benefits

Other benefits provided under unfunded schemes include post-retirement lumpsum benefits, pension payable to directors of the Company on their retirement, farewell gifts and reimbursement of packing and transportation charges to the employees based on their last drawn salary.

The defined benefit plans expose the Company to a number of actuarial risks as below:

- (i) **Investment risk:** The present value of the defined benefit plan liability is calculated using a discount rate determined by reference to government bond yields. If the return on plan asset is below this rate, it will create a plan deficit.
- (ii) **Interest risk:** A decrease in the bond interest rate will increase the plan liability. However, this will be partially offset by an increase in the value of plan's debt investments.
- (iii) **Salary risk:** The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in salary of the plan participants will increase the plan's liability.
- (iv) **Longevity risk:** The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

NOTES

forming part of the standalone financial statements

33. Employee benefits (Contd.)

C. Details of defined benefit obligations and plan assets:

(a) Retiring gratuity:

(i) The following table sets out the amounts recognised in the financial statements in respect of retiring gratuity plan:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Change in defined benefit obligations:		
Obligation at the beginning of the year	3,526.25	3,395.52
Disposal of business undertaking	(2.52)	-
Current service cost	225.47	189.49
Past service cost	71.95	-
Interest expense	209.13	211.79
Remeasurement (gain)/loss	(577.23)	181.62
Benefits paid	(381.13)	(452.17)
Obligations at the end of the year	3,071.92	3,526.25

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Change in plan assets:		
Fair value of plan assets at the beginning of the year	3,170.60	2,954.27
Disposal of business undertaking	(2.59)	-
Interest income	202.96	204.89
Remeasurement gain/(loss) excluding the amount included within employee benefit expense	(47.40)	66.22
Employers' contribution	200.00	397.39
Benefits paid	(381.13)	(452.17)
Fair value of the plan assets at the end of the year	3,142.44	3,170.60

Amounts recognised in the balance sheet consist of:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Fair value of plan assets	3,142.44	3,170.60
Present Value of obligation	(3,071.92)	(3,526.25)
	70.52	(355.65)
Recognised as:		
Retirement benefit assets - Non-current	70.52	-
Retirement benefit obligations - Non-current	-	(355.65)

NOTES

forming part of the standalone financial statements

33. Employee benefits (Contd.)

Expense/(gain) recognised in the statement of profit and loss consists of:

	Year ended March 31, 2026	(₹ crore) Year ended March 31, 2025
Employee benefits expense:		
Current service cost	225.47	189.49
Net interest expense	6.17	6.90
	231.64	196.39
Exceptional Items:		
Past service cost	71.95	-
Other comprehensive income:		
Return on plan assets excluding amounts included in employee benefits expense	47.40	(66.22)
Actuarial (gain)/loss arising from changes in demographic assumption	-	0.20
Actuarial (gain)/loss arising from changes in financial assumption	(496.61)	114.00
Actuarial (gain)/loss arising from changes in experience adjustments	(80.62)	67.42
	(529.83)	115.40
Expense/(gain) recognised in the statement of profit and loss	(226.24)	311.79

(ii) Fair value of plan assets by category of investment is as below:

	As at March 31, 2026	(₹ crore) As at March 31, 2025
Asset category (%)		
Equity instruments (quoted)	6.22%	5.43%
Debt instruments (quoted)	58.91%	52.00%
Insurance products (unquoted)	30.96%	37.79%
Others	3.91%	4.78%
	100.00%	100.00%

The Company's investment policy is driven by considerations of maximising returns while ensuring credit quality of debt instruments. The asset allocation for plan assets is determined based on prescribed investment criteria and is also subject to other exposure limitations. The Company evaluates the risks, transaction costs and liquidity for potential investments. To measure plan assets performance, the Company compares actual returns for each asset category with published benchmarks.

(iii) Key assumptions used in the measurement of retiring gratuity is as below:

	As at March 31, 2026	(₹ crore) As at March 31, 2025
Discount rate	7.00%	6.60%
Rate of escalation in the salary	6.00% to 8.00%	7.00% to 10.50%

(iv) Weighted average duration of the retiring gratuity obligation is **7.7** years (March 31, 2025: 8.6 years).

(v) There will be no contribution to the plan during the financial year 2026-27.

(vi) The table below outlines the effect on retiring gratuity obligation in the event of a decrease/increase of 1% in the assumptions used.

NOTES

forming part of the standalone financial statements

33. Employee benefits (Contd.)

As at March 31, 2026

Assumption	Change in assumption	Impact on obligation
Discount rate	Increase by 1%, decrease by 1%	Decrease by ₹212.28 crore, increase by ₹246.40 crore
Rate of escalation in salary	Increase by 1%, decrease by 1%	Increase by ₹234.85 crore, decrease by ₹206.22 crore

As at March 31, 2025

Assumption	Change in assumption	Impact on obligation
Discount rate	Increase by 1%, decrease by 1%	Decrease by ₹271.75 crore, increase by ₹318.29 crore
Rate of escalation in salary	Increase by 1%, decrease by 1%	Increase by ₹309.63 crore, decrease by ₹269.62 crore

The above sensitivities may not be representative of the actual change as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

(b) Post-retirement medical benefits and other defined benefits:

- (i) The following table sets out the amounts recognised in the financial statements in respect of post-retirement medical benefits and other defined benefit plans.

	Year ended March 31, 2026		Year ended March 31, 2025	
	Medical	Others	Medical	Others
Obligation at the beginning of the year	1,842.47	350.49	1,715.79	335.92
Current service cost	46.81	30.40	45.63	48.56
Interest expense	118.58	21.11	117.29	21.28
Remeasurement (gain)/loss				
(i) Actuarial (gains)/losses arising from changes in demographic assumptions	-	-	0.43	-
(ii) Actuarial (gains)/losses arising from changes in financial assumptions	(142.33)	(9.28)	120.45	9.02
(iii) Actuarial (gains)/losses arising from changes in experience adjustments	363.25	(9.53)	(74.96)	(1.42)
Benefits paid	(91.58)	(60.11)	(82.16)	(63.88)
Past service cost	-	(0.37)	-	1.01
Obligation at the end of the year	2,137.20	322.71	1,842.47	350.49

Amounts recognised in the balance sheet consist of:

	Year ended March 31, 2026		Year ended March 31, 2025	
	Medical	Others	Medical	Others
Present Value of obligation	2,137.20	322.71	1,842.47	350.49
Recognised as:				
Retirement benefit obligations - Current	107.42	25.51	96.34	26.54
Retirement benefit obligations - Non-current	2,029.78	297.20	1,746.13	323.95

NOTES

forming part of the standalone financial statements

33. Employee benefits (Contd.)

Expense/(gain) recognised in the statement of profit and loss consists of:

(₹ crore)

	Year ended March 31, 2026		Year ended March 31, 2025	
	Medical	Others	Medical	Others
Employee benefit expenses:				
Current service cost	46.81	30.40	45.63	48.56
Past service cost	-	(0.37)	-	1.01
Interest expense	118.58	21.11	117.29	21.28
	165.39	51.14	162.92	70.85
Other comprehensive income:				
Actuarial (gains)/losses arising from changes in demographic assumptions	-	-	0.43	-
Actuarial (gains)/losses arising from changes in financial assumptions	(142.33)	(9.28)	120.45	9.02
Actuarial (gains)/losses arising from changes in experience adjustments	363.25	(9.53)	(74.96)	(1.42)
	220.92	(18.81)	45.92	7.60
Expense recognised in the statement of profit and loss	386.31	32.33	208.84	78.45

(ii) Key assumptions used in the measurement of post-retirement medical benefits and other defined benefit plans is as below:

(₹ crore)

	As at March 31, 2026		As at March 31, 2025	
	Medical	Others	Medical	Others
Discount rate	7.00%	7.00%	6.60%	6.60%
Rate of escalation in salary	NA	12.00%	NA	12.00%
Inflation rate	8.00%	5.00%	8.00%	5.00%

(iii) Weighted average duration of post-retirement medical benefit obligation is **9** years (March 31, 2025: 9 years). Weighted average duration of other defined benefit obligation ranges from **2.4 to 11** years (March 31, 2025: 2.5 to 12 years).

NOTES

forming part of the standalone financial statements

33. Employee benefits (Contd.)

- (iv) The table below outlines the effect on post-retirement medical benefit obligation in the event of a decrease/increase of 1% in the assumptions used:

As at March 31, 2026

Assumption	Change in assumption	Impact on obligation
Discount rate	Increase by 1%, decrease by 1%	Decrease by ₹297.76 crore, increase by ₹386.87 crore
Medical cost inflation rate	Increase by 1%, decrease by 1%	Increase by ₹361.86 crore, decrease by ₹284.81 crore

As at March 31, 2025

Assumption	Change in assumption	Impact on obligation
Discount rate	Increase by 1%, decrease by 1%	Decrease by ₹261.65 crore, increase by ₹342.82 crore
Medical cost inflation rate	Increase by 1%, decrease by 1%	Increase by ₹319.09 crore, decrease by ₹249.32 crore

- (v) The table below outlines the effect on other defined benefit obligation in the event of a decrease/increase of 1 % in the assumptions used.

As at March 31, 2026

Assumption	Change in assumption	Impact on obligation
Discount rate	Increase by 1%, decrease by 1%	Decrease by ₹19.45 crore, increase by ₹22.67 crore
Rate of escalation in salary	Increase by 1%, decrease by 1%	Increase by ₹3.22 crore, decrease by ₹3.09 crore
Inflation rate	Increase by 1%, decrease by 1%	Increase by ₹9.50 crore, decrease by ₹8.26 crore

As at March 31, 2025

Assumption	Change in assumption	Impact on obligation
Discount rate	Increase by 1%, decrease by 1%	Decrease by ₹21.55 crore, increase by ₹25.23 crore
Rate of escalation in salary	Increase by 1%, decrease by 1%	Increase by ₹3.76 crore, decrease by ₹3.57 crore
Inflation rate	Increase by 1%, decrease by 1%	Increase by ₹14.32 crore, decrease by ₹12.49 crore

The above sensitivities may not be representative of the actual change as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

NOTES

forming part of the standalone financial statements

34. Contingencies and commitments

A. Contingencies

In the ordinary course of business, the Company faces claims and assertions by various parties. The Company assesses such claims and assertions and monitors the legal environment on an on-going basis with the assistance of external legal counsel, wherever necessary. The Company records a liability for any claims where a potential loss is probable and capable of being estimated and discloses such matters in its financial statements, if material. For potential losses that are considered possible, but not probable, the Company provides disclosure in the financial statements but does not record a liability in its financial statements unless the loss becomes probable.

The following is a description of claims and assertions where a potential loss is possible, but not probable. The Company believes that none of the contingencies described below would have a material adverse effect on the Company's financial condition, results of operations or cash flows.

It is not practicable for the Company to estimate the timings of the cash outflows, if any, pending resolution of the respective proceedings. The Company does not expect any reimbursements in respect of the same.

Litigations

The Company is involved in legal proceedings as defendant. There are claims which the Company does not believe to be of a material nature, other than those described below:

Income tax

The Company has ongoing disputes with income tax authorities relating to tax treatment of certain items. These mainly include disallowance of expenses and tax treatment of certain expenses claimed by the Company as deduction.

Most of these disputes and/or disallowances, being repetitive in nature, have been raised by the income tax authorities consistently in most of the years.

As at March 31, 2026, there are matters and/or disputes pending in appeal amounting to **₹3,982.47** crore (March 31, 2025: ₹4,093.71 crore).

The details of significant demands are as below:

- interest expenditure on loans taken by the Company for acquisition of a subsidiary has been disallowed in assessments with tax demand raised for **₹1,459.55** crore (inclusive of interest) (March 31, 2025: ₹1,521.87 crore).
- interest expenditure on "Hybrid Perpetual Securities" has been disallowed in assessments with tax demand raised for **₹394.89** crore (inclusive of interest) (March 31, 2025: ₹379.69 crore).
- the Company, through its wholly owned subsidiary Bamnipal Steel Limited, acquired erstwhile Bhushan Steel Limited (subsequently renamed as Tata Steel BSL Limited (TSBSL), now merged with the Company) through the resolution process of the Insolvency and Bankruptcy Code, 2016. Following this acquisition, a debt of ₹25,185.51 crore was waived in favour of erstwhile TSBSL by Bamnipal Steel Limited. The waiver of loan has been deemed as taxable in the hands of TSBSL under a reassessment order for FY 2018-19. In the same reassessment order, the Company has received a tax demand of **₹594.80** crore (March 31, 2025: ₹594.80 crore) on account of withdrawal of earlier refund granted. The Company has filed writ petition before the Hon'ble High Court of Bombay challenging the reassessment. Matter was heard and decided in favour of the Company vide order dated August 12, 2025.

Finance Act 2025 has, however, made a retrospective amendment pertaining to the ground based on which the Company had received a favourable order. Basis the amendment, the matter may be revived and would then again be argued before the High Court on other grounds challenging the validity of the proceedings.

In respect of above demands, the Company has deposited an amount of **₹1,372.62** crore (March 31, 2025: ₹1,343.80 crore) as a precondition for obtaining stay. The Company expects to sustain its position on ultimate resolution of the said appeals.

Customs, excise duty, service tax and goods and service tax

As at March 31, 2026, there were pending litigations for various matters relating to customs, excise duty, service tax and GST involving demands of **₹535.17** crore (March 31, 2025: ₹667.27 crore).

NOTES

forming part of the standalone financial statements

34. Contingencies and commitments (Contd.)

The detail of significant demand is as below:

The Company is providing municipal services in the town of Jamshedpur as per the Lease deed dated August 20, 2005. In this regard, the Company has entered into various agreements with Tata Steel Utilities and Infrastructure Services Limited ('TSUISL'), whereby TSUISL provides services to the Company, and the Company in turn provides such services to the residents. TSUISL charges GST on the invoices raised and the Company takes Input Tax Credit (ITC) of the same in terms of the GST Laws.

Further, the Company maintains Tata Main Hospital (TMH) in the town of Jamshedpur, wherein health care services are provided to employees as well as non-employees. The Company has taken ITC of GST paid on various services received which is attributable to employees.

Both the above ITC were disputed by the department and show cause notices (SCN) were issued. The demand in the said SCN has been confirmed vide order in original dated June 23, 2023. Against the said Order, the Company preferred an appeal before the Commissioner (Appeals) Ranchi which was disposed in the favor of the company vide order dated May 22, 2025.

The amount involved as at March 31, 2026 amounts to **Nil** (March 31, 2025: ₹154.54 crore).

Sales tax/VAT

As at March 31, 2026, sales tax demands that are being contested by the Company amount to **₹313.33** crore (March 31, 2025: ₹300.78 crore).

Other taxes, dues and claims

- (a) Orissa Rural Infrastructure and Socio-Economic Development Act, (ORISED)

The State of Odisha enacted the "Orissa Rural Infrastructure and Socio-Economic Development Act, 2004 (ORISED Act)" with effect from February 01, 2005, levying tax on mineral bearing land.

The Company during FY06 received various demands amounting to ₹129.00 crore pertaining to the period FY05 and FY06 in respect of its mines in the State of Odisha. The Company had filed a writ petition in the Hon'ble High Court of Orissa challenging the constitutional validity of the Act on the ground that the State of Odisha lacks the

legislative authority to enact ORISED Act, 2004 and therefore the same is unconstitutional. The Hon'ble High Court of Orissa in December 2005 held that the State does not have the legislative authority to levy tax on minerals. The State of Odisha had challenged the Judgment of the Hon'ble High Court before the Hon'ble Supreme Court. Subsequently, the matter relating to legislative authority of the States to tax minerals, was referred to the Constitution Bench of the Hon'ble Supreme Court.

The Judgement of the Constitution Bench of the Hon'ble Supreme Court was pronounced on July 25, 2024. The Hon'ble Supreme Court ruled that the Mines and Minerals (Development & Regulation) Act will not denude the States of the power to levy tax on mineral rights. The Constitution Bench further directed the listing of the pending matters before an appropriate Regular Bench of the Hon'ble Supreme Court. This was followed by an Order dated August 14, 2024 of the Constitution Bench of the Hon'ble Supreme Court, directing/clarifying certain matters in respect of its Judgement dated July 25, 2024.

Notwithstanding the recent Judgement dated July 25, 2024 and August 14, 2024 of the Constitution Bench of the Hon'ble Supreme Court laying down the principle of law, pending hearing of the Appeal filed by the State of Odisha before the appropriate Regular Bench of the Hon'ble Supreme Court against the Judgement and Order of the Hon'ble High Court of Orissa which had declared the ORISED Act, 2004 to be unconstitutional and inoperative, it is unclear/uncertain as regards the form and manner in which the ORISED Act, 2004 may get enacted once the decision of the Hon'ble High Court of Orissa is set aside by the Hon'ble Supreme Court, which currently is pending.

The Company has filed a curative petition before the Hon'ble Supreme Court of India on January 17, 2025, invoking extraordinary jurisdiction of the Hon'ble Supreme Court of India under Article 142 of the Constitution of India read with order XLVIII, Rule 1 of the Supreme Court Rules, 2013 in respect of the order dated September 24, 2024 passed by the Constitutional Bench of the Hon'ble Supreme Court of India dismissing the review petition against judgment dated July 25, 2024 and August 14, 2024, which is pending.